

yield” or “roll premium” that flowed from hedgers to speculators. Hedgers would pay what amounted to an insurance premium to speculators in order to shed themselves of the risks that they were unwilling or unable to bear.

However, those dynamics have now changed. Using data only through the early 2000s that showed aggregate commodities to be a decent portfolio diversifier, academic papers like the one by Gorton and Rouwenhorst (2006) induced many institutional investors to invest in portfolios of passive commodity futures. Goldman Sachs and other indexers promoted commodity futures as a new asset class suitable for institutional investors.

Spurred on by a nearly 150% increase in the value of a basket of commodities from 2002 through 2007, over \$100 billion poured into the commodity futures market from 2004 through 2008. This caused the “financialization” of commodities. According to J.P. Morgan’s Commodities Research, by the end of 2009 investors had linked \$55 billion to the Goldman Sachs Commodity Index (GSCI) and \$30 billion to the Dow Jones-UBS Commodity Index (DJ-UBSCI).

Commodity investments more than doubled from roughly \$170 billion in July 2007 to \$410 billion in February 2013. Endowments, pension funds, hedge funds, risk parity programs, and the public have all joined the bandwagon and scrambled to add long-only commodity index futures in an effort to diversify their portfolios.

Many pension programs now believe they should have 5 to 10% of their portfolio assets committed to commodities. As shown in [Figure 5.5](#), from 1990 through 2012, the share of open interest in commodity futures contracts held by noncommercial interests increased from 15% to 42%.¹¹